

Amazon.com Inc. (AMZN)

\$3,198.01 (As of 06/07/21)

Price Target (6-12 Months): **\$3,358.00**

Long Term: 6-12 Months

Zacks Recommendation:
Neutral

(Since: 10/27/20)

Prior Recommendation: Outperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM:A

Value: C

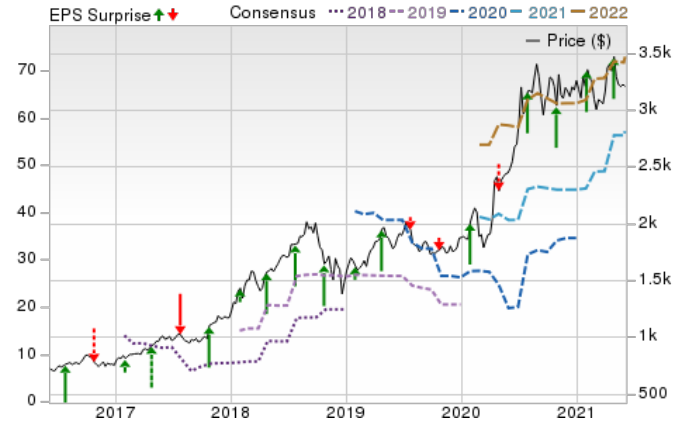
Growth: A

Momentum: A

Summary

Amazon is gaining on solid Prime momentum owing to ultrafast delivery services and strong content portfolio. Further, coronavirus-led spike in online orders continues to be a major tailwind. Also, solid growth in its online stores sales remains a positive. Moreover, surge in online grocery shopping is another positive. Additionally, strong adoption rate of AWS is aiding the company's cloud dominance. Moreover, expanding AWS services portfolio is continuously helping Amazon in gaining further momentum among the customers. Further, improving Alexa skills and expanding smart home products portfolio are positives. The stock has outperformed its industry on a year-to-date basis. However, accelerating coronavirus related expenses remain risks for the company's margin expansion in the near term. Also, rising cloud competition poses risk.

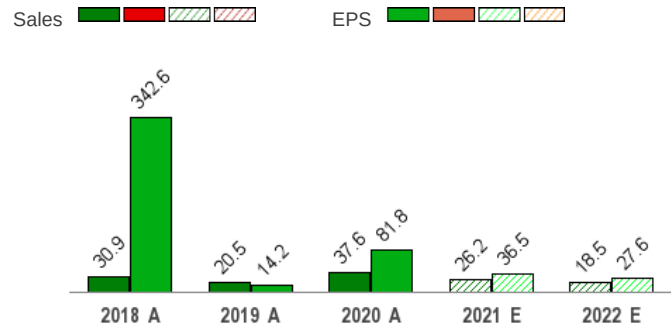
Price, Consensus & Surprise



Data Overview

52 Week High-Low	\$3,554.00 - \$2,487.34
20 Day Average Volume (sh)	2,823,857
Market Cap	\$1,612.8 B
YTD Price Change	-1.8%
Beta	1.15
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Internet - Commerce
Zacks Industry Rank	Bottom 6% (237 out of 251)

Sales and EPS Growth Rates (Y/Y %)



Last EPS Surprise	62.0%
Last Sales Surprise	3.1%
EPS F1 Est- 4 week change	1.6%
Expected Report Date	07/29/2021
Earnings ESP	0.0%

Sales Estimates (millions of \$)

	Q1	Q2	Q3	Q4	Annual*
2022	127,981 E	133,890 E	138,047 E	172,613 E	577,392 E
2021	108,518 A	115,022 E	118,234 E	146,085 E	487,323 E
2020	75,452 A	88,912 A	96,145 A	125,555 A	386,064 A

EPS Estimates

	Q1	Q2	Q3	Q4	Annual*
2022	\$16.42 E	\$15.97 E	\$17.37 E	\$18.83 E	\$72.86 E
2021	\$15.79 A	\$12.11 E	\$12.74 E	\$14.56 E	\$57.12 E
2020	\$5.01 A	\$10.30 A	\$12.37 A	\$14.09 A	\$41.83 A

*Quarterly figures may not add up to annual.

P/E TTM	60.9
P/E F1	56.0
PEG F1	1.7
P/S TTM	3.9

The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 06/07/2021. The report's text and the analyst-provided price target are as of 06/08/2021.

Overview

Amazon.com is one of the largest e-commerce providers, with sprawling operations in North America, now spreading across the globe.

Its online retail business revolves around the Prime program well-supported by the company's massive distribution network. Further, the Whole Foods Market acquisition helped Amazon establish footprint in physical grocery supermarket space.

Amazon also enjoys dominant position in the cloud-computing market, particularly in the Infrastructure as a Service (IaaS) space, thanks to Amazon Web Services (AWS), which is one of its high-margin generating businesses.

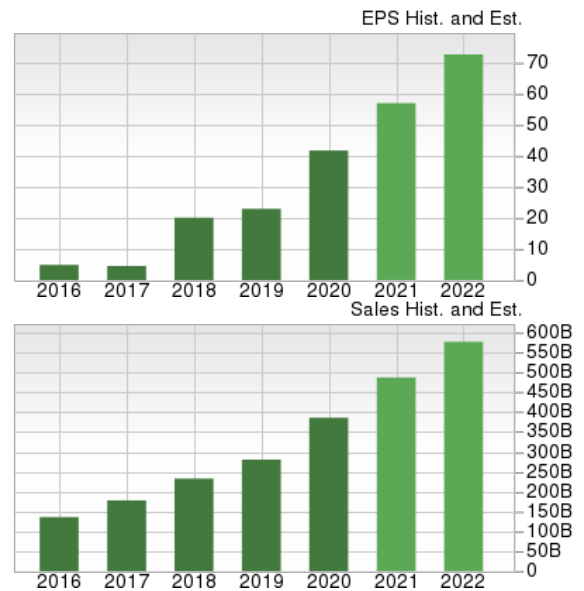
Amazon has also become a household name with its Alexa powered Echo devices. Artificial Intelligence (AI) backed Alexa is helping the company sell products and services.

Revenues were \$386.1 billion in 2020. The company reports revenue under three broad heads—North America, International and AWS, which generated 61.2%, 27% and 11.8% of total revenues, respectively.

Headquartered in Seattle, WA, Amazon targets three categories of customers—consumers, sellers and website developers. Consumers are offered variety, convenience and free delivery of goods displayed on the company's websites.

The agreements with sellers are varied, enabling them to use the company's websites to either sell their merchandise directly, or redirect customers to the sellers' own branded websites. In case of the latter arrangement, Amazon earns a fee for the sales thus generated.

Competition comes in the form of traditional retailers, other online retailers, media companies, web portals, search engines, e-commerce companies and cloud computing service providers.



Reasons To Buy:

- ▲ Amazon.com is **one of the largest e-commerce companies** in the world. Although the primary product line was books at first, the company rapidly diversified into a host of other product categories. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in that market are considerable. Product selection, a superior user experience, bargains and customer feedback have helped the company build a strong position for itself in the fast-growing ecommerce market. The growth of the e-commerce industry with consumers increasingly buying things online has proved to be favorable for the company. While the big brands may build their own online stores over time, a platform like Amazon allows discovery by new buyers. Smaller players are far more dependent on Amazon as they don't have the resources that Amazon has to invest in technology and fulfilment to generate the kind of reach that Amazon can deliver. Moreover, considering opportunities in international markets, the company's high growth rates are likely to be sustained over the next few years.
- ▲ Amazon keeps its retail business very hard to beat on price, choice, and convenience with the help of a solid loyalty system in **Prime and its FBA strategy**. The company continues to push advantages exclusively to Prime members, thus encouraging them to spend more on Amazon. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in the market are considerable. Prime members are much more loyal and spend double the amount spent by non-Prime members.
- ▲ Amazon's strategy of **merging online and offline retail** looks promising. It will not only reshape the retail landscape but also help it fend off competition, if it could manage a first mover advantage. It has added online and offline features to its bookstores and is going the same way with innovations such as drive-in-grocery delivery service (AmazonFresh Pickup - order groceries online and collect them from a store nearby) and "cashier-less" stores (Amazon Go – the company's first brick-and mortar grocery store). We expect online retail sales to decelerate while the overall retail market still holds a lot of potential. So, moves like these will help Amazon tap a large number of customers who prefer to shop offline, while not doing away with the online business.
- ▲ Amazon is the leading provider of cloud infrastructure as a service to enterprise customers. The expanding customer base of **Amazon Web Services (AWS)** driven by its strengthening cloud offerings will continue to aid Amazon's dominance in the global cloud space. Even more encouraging is the fact that AWS generates much stronger margins than the traditional retail business, which should remain a positive for the company's profitability as it continues to grow in the mix. AWS is gaining momentum with customers including PGA TOUR, National Hockey League, ViacomCBS, Boom Supersonic, MercadoLibre, Zalando, Western Union, Klarna, Old Mutual, Seattle Seahawks, FINRA CAT, Emirates NBD, Adobe, Pinterest, Spotify, Tata Motors, Unilever, McDonalds and BMW, to name a few.
- ▲ Amazon is pushing well with its **devices strategy**. Alexa powered Echo devices are going great guns and help the company sell products and services. Artificial intelligence (AI) driven Alexa has already been integrated into a host of everyday devices for the digital home, which has converted the nascent smart home market into a potential area of growth in a very short time. Moreover, the company is benefiting from increasing number of Alexa compatible smart devices. The company is racing to build an ecosystem around Alexa and it's safe to say that it has taken an early lead over Google's smart assistant and Microsoft's Cortana.
- ▲ Amazon is gradually choosing the **buy option over build**, which, along with the other positives, ensures that the company generates revenues right way without wasting any time in building its own infrastructure. The company's acquisition of a Dubai-based e-commerce giant, Souq.com. is helping it to strengthen presence in countries like Egypt, Saudi Arabia, and the UAE markets like Egypt, Saudi Arabia, and the UAE. Amazon's retail market share is still relatively small in these markets, but there is a good possibility of an increase in the next few years. If this happens, the company will see additional several billion dollars a year in revenues. The company acquired natural and organic foods supermarket, Whole Foods Market for \$13.7 billion. Through this acquisition, the company is gaining traction across a large customer base that still prefers to shop at physical stores. This is Amazon's way of tackling mounting competition and slow growth in the e-commerce space. Amazon has also acquired Body Labs, a startup that develops AI, computer vision and body-modelling based 3D body shapes and motion for various industries. It also acquired GameSparks to spruce up its gaming capabilities.
- ▲ Amazon has a solid balance sheet that makes the stock attractive to investors. As of Mar 31, 2021, the company's net cash amounted to \$41.4 billion compared with \$52.6 billion as of Dec 31, 2020. Further, debt-to-total capital was 23.6% as of Mar 31, 2021, down from 25.4% as of Dec 31, 2020. Additionally, strong cash flow generation is bolstering the company's liquidity position. Notably, Amazon generated \$4.2 billion of cash from operations in the first quarter.

Amazon is benefiting from its Prime program, delivery and logistic system in the e-commerce space. Further, its dominant position in cloud market is a positive.

Reasons To Sell:

- ▼ There is a downside to a growing international business in the current economic environment. While expansion opportunities automatically increase, **currency** also starts playing a bigger role. Currency continues to have a significantly negative impact on its e-commerce results, which is now being offset by strength in AWS. Since the dollar remains strong at the moment and the situation may not change much for the rest of the year as well, there will be pressure on Amazon's profitability. The risk should be hedged however as AWS increases in the mix. AWS revenues are dollar-denominated while a lot of the assets were located in low-cost regions meaning that reduced competitiveness from the rising dollar would potentially be compensated by lower costs. Also note that once companies have migrated to its AWS platform, it will be difficult to switch or stop using it, leading to a situation of relatively inelastic demand.
- ▼ The AWS business is bringing an **element of cyclicality** into the business. Generally, a capital-intensive business means that the company will have to periodically sacrifice profits to build out infrastructure and then wait for customers to fill up the capacity thus created. So there will be periods during which the company will build out at the cost of profits and cash flows followed by periods during which the increased operating leverage will translate into improved profitability. AWS is still a small percentage of Amazon's total business, but still has a significant impact on its profitability because of the low-margin profile of the retail business. As AWS grows as a percentage of sales, it will become a greater influence on profitability.
- ▼ **Prime's saturation in the U.S. market** is apparent, because Amazon has very high penetration rates in the country. This led management to announce a tiered pricing system, wherein users can try out a monthly subscription if they are unsure about the program or don't want to pay upfront for the whole year. This plan brings flexibility to the pricing system, so is likely to remain. It should also increase penetration amongst the less affluent households.
- ▼ The **competition in online retail** is heating up. Traditional retailers have always provided the strongest competition and a number of them are running e-commerce sites as well. Additionally, the increased use of the Internet in both developed and developing economies is attracting other players into the space. Affiliation programs are being used by big players such as eBay. Several smaller companies could also find their own niche. While the Chinese market appears ripe and Amazon has initiatives to increase penetration in the market, local company Alibaba.com is very well-entrenched there. In China, Amazon has to contend with not only Alibaba, but also a growing number of other home-grown players. Additionally, Alibaba is now targeting the American market, which will greatly increase competition for Amazon. Further, since Amazon's first mover advantage is likely to moderate over time, some market share erosion seems inevitable.
- ▼ Amazon continues to **invest heavily on fulfillment centers, TV shows and movies, grocery, AWS, India expansion** and what not. In India, the company is making massive investments to build a logistics network that would cover the entire country. The \$5 billion investment plan is well on track but at the cost of global margins. Management has indicated that Amazon will continue with its push into the Indian e-commerce market, making the nation its fifth largest market after the U.S., the U.K. Japan and Germany. That being said, Amazon's global margins are likely to be under pressure at least for a few years in the future.
- ▼ Most retail businesses tend to be **seasonal** and Amazon's is no different. The company's revenues get a huge boost from the holiday season each year. Over 32% of its 2020 revenues were generated in the fourth quarter of 2020. With such a huge contribution from the fourth quarter, there is an obvious drop-off in the first quarter. The dependence on consumer spending makes the business lumpy, increasing the possibility of expectations going awry. However, management usually provides a fairly conservative guidance and reported revenues are usually within the guided range.

Amazon's rising operating expenses to support expansion of business into new markets and territories, and grow its volume of content remain major concerns.

Last Earnings Report

Amazon's Q1 Earnings & Revenues Beat Estimates

Amazon.com reported first-quarter 2021 earnings of \$15.79 per share, beating the Zacks Consensus Estimate by 61.9%. The bottom line also improved 215.2% from the year-ago quarter and 12.1% from the previous quarter.

Net sales of \$108.52 billion comfortably surpassed the Zacks Consensus Estimate of \$105.23 billion and exceeded management's guidance of \$100-\$106 billion. Further, the figure increased 44% on a year-over-year basis but went down 13.6% sequentially.

North America revenues (59% of sales) rose 40% from the year-ago quarter to \$64.4 billion. International revenues (28% of sales) climbed 60% year over year to \$30.6 billion. Amazon Web Services ("AWS") revenues (12% of sales) rose 32% year over year to \$13.5 billion.

Strong momentum across Prime members remained a tailwind. Currently, the Prime member base stands above the 200-million mark. The company's subscription services delivered a robust performance in the reported quarter. Sales from these services went up 36% from the prior-year quarter.

Further, the coronavirus pandemic-led continuous surge in online shopping contributed well. We note that the company's online store sales rose 44% from the prior-year quarter.

Additionally, strengthening relationships with third-party sellers remained a major positive. In the first quarter, sales generated by third-party seller services rose 64% on a year-over-year basis.

Furthermore, solid AWS momentum and strengthening smart devices offerings continued to benefit the company's first-quarter performance.

Also, favorable foreign exchange rates drove top-line growth well.

The company's strong global presence, growing Prime momentum, robust data center network and an increasing number of AWS regions, improving Alexa skills, expanding smart devices portfolio, and growing efforts toward gaining strong traction among small and medium businesses are likely to drive its near-term financial performance.

Retail & Prime Momentum

Amazon's aggressive retail strategies continued to aid its first-quarter results. Expanding the fulfillment network and ultrafast delivery services remained tailwinds.

Strengthening momentum across Amazon's last-mile network of delivery driver partners remained noteworthy. The company made its Same-Day Delivery service free for orders above \$35 in selected cities of the United States.

Additionally growing momentum across Prime Wardrobe on the back of personalized features remained noteworthy.

Further, the rising number of Amazon Fresh grocery stores across the United States contributed well.

Coming to the international footprint, the expansion of Discover Rooms to countries, namely Canada, France, Germany, India, Italy, Japan, Spain, the U.K., and the United States, was a positive.

Further, the company opened three Amazon Fresh locations in London, which are based on the Just Walk Out technology.

Apart from this, growing momentum across Prime Video and Amazon Studios contributed well to the first-quarter results.

The reported quarter marked the first quarter in which Amazon Studios won the Golden Globe award from the Hollywood Foreign Press Association. In addition to this, it achieved 12 Academy Award nominations.

Further, expanding original content and overall content portfolio on Prime Video continued to accelerate the Prime engagement further.

We note that Prime Video premiered Coming 2 America, which was at the top among the most-streamed movies in its opening week.

Additionally, new Amazon Originals like Invincible, The Stand in Canada, Guerra de Likes in Mexico, The Great Escapists in the U.K., La Templanza in Spain, and We Children from Bahnhof Zoo in Germany aided the company in bolstering its reach to regional streamers.

Along with these, expanding live sports content on Prime Video continued to expand its viewer base.

Expanding AWS Portfolio: A Key Catalyst

AWS, which witnessed solid growth in the topline, continued to gain strong customer momentum in the first quarter, courtesy of its highly reliable services portfolio.

In the first quarter, AWS announced the general availability of Amazon Lookout for Metrics, which detects anomalies in business metrics with the help of Machine Learning (ML) technology.

Furthermore, the company made Amazon Lookout for Vision generally available, which processes several images in an hour to detect defects and anomalies in manufactured products.

Quarter Ending 03/2021

Report Date	Apr 29, 2021
Sales Surprise	3.12%
EPS Surprise	61.95%
Quarterly EPS	15.79
Annual EPS (TTM)	52.55

Additionally, AWS unveiled One Zone storage classes for Amazon Elastic File System or Amazon EFS, which provides lifecycle management and integration with computing services.

Additionally, the company made X2gd instances for Amazon Elastic Compute Cloud or Amazon EC2 generally available.

Coming to regions and Availability Zones, the company launched a second full region in Japan — the AWS Asia Pacific (Osaka) Region — in the first quarter. Notably, AWS has 80 Availability Zones across 25 geographic regions.

On the heels of the expanding services portfolio, regions and Availability Zones, AWS experienced strong growth in its clientele with the addition of PGA TOUR— commonly known as TOUR, which selected AWS as its official cloud provider.

Furthermore, National Hockey League partnered with AWS to make the latter its official cloud, AI and ML infrastructure provider.

Robust Smart Devices Portfolio

Amazon's robust portfolio of Echo smart speakers remained beneficial. Further, strengthening Alexa features have aided the company in delivering a better user experience.

Apart from this, its strengthening offering of Wi-Fi devices and robust smart home security camera portfolio contributed well.

Quarter in Detail

Product sales (53% of sales) increased 37.4% year over year to \$57.5 billion. Service sales (47% of sales) rose 51.8% from the year-ago quarter to \$51.03 billion.

Operating expenses were \$99.6 billion, up 39.4% from the year-ago quarter. As a percentage of revenues, the figure contracted 290bps on a year-over-year basis to 91.8%.

Cost of sales, fulfillment, technology & content, marketing, and general & administrative expenses increased 41%, 43.4%, 33.9%, 28.6% and 36.8% to \$62.4 billion, \$16.5 billion, \$12.5 billion, \$6.2 billion and \$1.9 billion, respectively, on a year-over-year basis.

Other operating expenses were \$38 million in the reported quarter, down from \$70 million in the year-ago quarter.

Overall operating income increased 122.2% from the year-ago quarter to \$8.9 billion. Further, the operating margin expanded 290 bps from the year-ago quarter to 8.2%.

Operating income for AWS was \$4.2 billion, up 35% year over year. Further, the same for North America improved 163% from the prior-year quarter to \$3.4 billion.

Further, the International segment reported an operating income of \$1.3 billion against a loss of \$398 million in the year-ago quarter.

Balance Sheet & Cash Flow

As of Mar 31, 2021, cash and cash equivalents were \$33.8 billion compared with \$42.1 billion as of Dec 31, 2020. Further, marketable securities totaled \$39.4 billion at the end of the first quarter, down from \$42.3 billion at the end of the fourth quarter.

Long-term debt was \$31.9 billion in the reported quarter compared with \$31.8 billion in the previous quarter.

Further, the company generated \$4.2 billion of cash from operation in the first quarter, which was significantly down from \$30.4 billion in the prior quarter.

On a trailing 12-month basis, free cash flow was \$26.4 billion in the reported quarter, down from \$31.02 billion in the prior quarter.

Guidance

For second-quarter 2021, Amazon expects net sales between \$110 billion and \$116 billion. The figure is anticipated to improve 24-30% on a year-over-year basis.

Management projects a favorable foreign exchange impact of 200 bps.

Income from operational activities is likely to range from operating income of \$4.5 billion to \$8 billion.

The guidance is inclusive of \$1.5 billion costs related to COVID-19.

Recent News

On **Jun 7, 2021**, Amazon announced early-release of several Prime Day 2021 deals across categories - fashion, home, beauty products, toys, sporting goods, pet supplies and electronics.

On **May 12, 2021**, Amazon expanded its smart speaker offerings by unveiling new Echo Show devices — upgraded Echo Show 8, Echo Show 5, and the first Echo Show 5 Kids.

On **May 4, 2021**, Amazon's AWS made its purpose-built analytics service namely Amazon FinSpace generally available.

On **Apr 27, 2021**, Amazon unveiled the all-new Fire Kids Pro and Next-Generation Fire HD 10 Kids Tablets. Notably, Fire Kids Pro is suitable for kids within the age group of 6 to 12 years. Further, Fire HD 10 Kids is ideal for kids within the range of 3 to 7 years.

On **Mar 19, 2021**, Amazon entered a 10-year agreement with National Football League ("NFL") in a bid to strengthen its sports content on Prime Video. The company will stream 15 *Thursday Night Football* games during the regular season and one pre-season game a year in the United States.

On **Mar 17, 2021**, Amazon's AWS made X2gd instances for Amazon Elastic Compute Cloud (Amazon EC2) generally available.

On **Mar 2, 2021**, Amazon's AWS picked by PGA TOUR as the official cloud provider. This highlights the efficiency and reliability of AWS's innovative cloud products and services.

On **Mar 1, 2021**, Amazon's AWS made its new service offering anomaly detection solution — Amazon Lookout for Vision generally available. Notably, the new service is well-equipped to process several images an hour to detect defects and anomalies in manufactured products.

On **Feb 2, 2021**, Amazon announced the transition in the role of Jeff Bezos to the position of Executive Chair. Notably, Jeff Bezos will be stepping down from his current CEO role in third-quarter 2021 and Andy Jassy will become the new CEO.

On **Jan 11, 2021**, Amazon revealed its plans for opening five new sites in the Detroit area. These sites are expected to create more than 2,000 permanent jobs, including both full and part time. This move will increase the company's investment in Michigan.

On **Jan 5, 2021**, Amazon disclosed about its purchase of 11 used Boeing 767-300 aircrafts. These aircrafts will strengthen the company's in-house shipping and logistics service which in turn will support its Prime-based ultrafast delivery services.

Valuation

Amazon shares are down 1.8% in the year-to-date period but up 23% over the trailing 12-month period. Stocks in the Zacks sub-industry and the Zacks Retail-Wholesale sector are down 18.9% and 2.5% in the year-to-date period, respectively. Over the past year, the Zacks sub-industry is down 6.5%, while the sector is up 16.6%.

The S&P 500 index is up 13.2% in the year-to-date period and 34% in the past year.

The stock is currently trading at 3.06X forward 12-month sales, which compares to 3.58X for the Zacks sub-industry, 1.31X for the Zacks sector and 4.72X for the S&P 500 index.

Over the past five years, the stock has traded as high as 4.31X and as low as 2.09X, with a 5-year median of 2.88X. Our Neutral recommendation indicates that the stock will perform in-line with the market. Our \$3,358 price target reflects 3.21X forward 12-month sales.

The table below shows summary valuation data for AMZN

Valuation Multiples - AMZN					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	3.06	3.58	1.31	4.72
	5-Year High	4.31	5.96	1.41	4.74
	5-Year Low	2.09	3.17	0.84	3.21
	5-Year Median	2.88	4.47	1.02	3.72
P/B TTM	Current	15.61	6.63	5.43	7.03
	5-Year High	28.43	11.19	6.5	7.03
	5-Year Low	13.45	5.26	3.8	3.83
	5-Year Median	20.01	8.04	5.16	5.01
EV/Sales TTM	Current	3.75	4.11	1.46	4.84
	5-Year High	5.38	8.5	1.61	4.85
	5-Year Low	2.49	3.91	0.97	2.64
	5-Year Median	3.51	6.26	1.21	3.64

As of 06/07/2021

Source: Zacks Investment Research

Industry Analysis Zacks Industry Rank: Bottom 6% (237 out of 251)



Top Peers

Company (Ticker)	Rec	Rank
Facebook, Inc. (FB)	Outperform	2
Alphabet Inc. (GOOGL)	Outperform	1
Target Corporation (TGT)	Outperform	1
Alibaba Group Holding Limited (BABA)	Neutral	3
eBay Inc. (EBAY)	Neutral	3
The Kroger Co. (KR)	Neutral	3
Microsoft Corporation (MSFT)	Neutral	3
Walmart Inc. (WMT)	Neutral	2

Industry Comparison Industry: Internet - Commerce				Industry Peers		
	AMZN	X Industry	S&P 500	GOOGL	MSFT	WMT
Zacks Recommendation (Long Term)	Neutral	-	-	Outperform	Neutral	Neutral
Zacks Rank (Short Term)	3	-	-	1	3	2
VGM Score	A	-	-	C	C	A
Market Cap	1,612.83 B	3.93 B	30.32 B	1,609.93 B	1,911.59 B	394.82 B
# of Analysts	17	3.5	12	15	12	15
Dividend Yield	0.00%	0.00%	1.29%	0.00%	0.88%	1.56%
Value Score	C	-	-	F	C	B
Cash/Price	0.05	0.13	0.06	0.08	0.07	0.06
EV/EBITDA	30.77	1.22	17.33	24.10	26.84	12.23
PEG Ratio	1.69	2.00	2.13	1.48	2.51	4.33
Price/Book (P/B)	15.61	5.67	4.17	7.00	14.21	4.69
Price/Cash Flow (P/CF)	34.57	33.15	17.93	30.01	33.65	14.91
P/E (F1)	55.99	56.78	21.52	26.85	32.55	23.83
Price/Sales (P/S)	3.85	3.85	3.52	8.19	11.95	0.70
Earnings Yield	1.79%	0.89%	4.55%	3.72%	3.07%	4.19%
Debt/Equity	0.31	0.02	0.66	0.06	0.37	0.52
Cash Flow (\$/share)	92.50	0.29	6.83	80.05	7.54	9.45
Growth Score	A	-	-	B	B	A
Hist. EPS Growth (3-5 yrs)	77.93%	7.70%	9.44%	21.69%	22.33%	5.63%
Proj. EPS Growth (F1/F0)	36.56%	25.76%	21.30%	52.64%	35.36%	7.92%
Curr. Cash Flow Growth	39.56%	4.29%	0.98%	12.89%	17.66%	6.44%
Hist. Cash Flow Growth (3-5 yrs)	46.61%	9.42%	7.28%	20.90%	10.19%	2.01%
Current Ratio	1.05	2.18	1.39	3.10	2.29	0.95
Debt/Capital	23.57%	8.00%	41.53%	5.69%	27.10%	34.26%
Net Margin	6.42%	-1.24%	11.95%	26.11%	35.02%	2.18%
Return on Equity	30.47%	-4.03%	16.36%	23.54%	43.75%	19.92%
Sales/Assets	1.42	0.85	0.51	0.64	0.53	2.30
Proj. Sales Growth (F1/F0)	26.23%	24.62%	9.30%	29.81%	16.08%	-1.31%
Momentum Score	A	-	-	B	D	B
Daily Price Chg	-0.26%	0.01%	-0.33%	0.36%	1.20%	-0.67%
1 Week Price Chg	-0.52%	0.35%	0.58%	1.56%	0.44%	-0.13%
4 Week Price Chg	0.24%	2.87%	0.12%	4.82%	2.68%	0.06%
12 Week Price Chg	3.77%	-11.76%	6.91%	16.93%	8.09%	5.60%
52 Week Price Chg	26.70%	45.46%	29.97%	65.90%	34.75%	16.22%
20 Day Average Volume	2,823,857	310,741	1,799,698	1,326,498	22,713,486	8,107,593
(F1) EPS Est 1 week change	1.55%	0.00%	0.00%	1.77%	0.00%	0.03%
(F1) EPS Est 4 week change	1.55%	0.00%	0.01%	1.77%	0.00%	9.80%
(F1) EPS Est 12 week change	17.46%	-1.94%	3.36%	29.57%	5.01%	9.64%
(Q1) EPS Est Mthly Chg	2.33%	0.00%	0.00%	1.50%	0.00%	5.15%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	C
Growth Score	A
Momentum Score	A
VGM Score	A

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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